

Man of the MOMENT

Mukherjee will have to walk the tightrope of prudence and populism in the new government

He occupies the hottest seat in the Cabinet and, even with his reputation as the Congress party's favourite troubleshooter, Pranab Mukherjee will be facing most of the heat in the coming months, grappling with the challenges of an unprecedented global economic crisis. Last week, as India's newly crowned finance minister wiped the sweat from his brow in between answering questions from the media, it was more than symbolic. The air-conditioning in Room 72 in North Block where Mukherjee held his first press conference was unable to cope with May temperatures. It could well be a sign of things to come. His brief is as challenging as the economic environment: formulate a please-all response to the crisis, from the *aam aadmi* to industry and investors looking for relief from their current woes.

On the plus side, this is the man for all seasons, the politician who has been there and done that. At 78, he is among the most experienced in the Cabinet and is no stranger to North Block: he was the automatic choice when P. Chidambaram was shifted to the home ministry in the wake of 26/11. After all, he was once rated among the top five finance ministers in the world by Euromoney. There is an air of equanimity and relaxed confidence as Mukherjee sweeps into the room, his off-white cream bundgala suit matching the sepia cream walls. He will need all of that in the days ahead; he has to take some bold decisions to boost a domestic economy

battered by the global financial crisis and restore it to a growth path of 9 per cent. He has jettisoned his trademark pipe but he knows that there are dark clouds on the economic horizon; his only consolation is that he will be operating in a political environment without the presence of the Left, which had held back many reforms.

The question now is: can Mukherjee succeed? Venu Srinivasan, President, CII thinks he can. "The comprehensive majority for the UPA provides it a great opportunity to take necessary measures to deal with the economic situation," he says, adding that it is unlikely that the Government would fritter away the chance to take reforms forward. If the hints of the broad plan of action in Mukherjee's mind are any indication, the revival dose to be played out in the short, medium and long terms, aims at restoring the growth momentum of the economy. Mukherjee is clear that this cannot happen unless the Government deals with the loss of confidence in industry and business. Barring telecom which is adding 10 million subscribers a month and the FMCG sector, production, consumption and investment have stalled in most

other sectors. Though the RBI has injected Rs 19,705 crore of liquidity in the last six months and the Government has unveiled three stimulus packages worth Rs 2,40,000 crore, clearly more needs to be done not just in packages but also in delivery.

That means ensuring that banks give cheaper credit to exporters and small and medium industries still reeling from job losses and high interest rates. A. Sakthivel, president, Federation of Indian Export Organisations (FIEO) says: "While there have been drastic reductions in the repo and reverse repo rates, the lending rates of banks have only shown a marginal reduction." Mukherjee has prioritised a meeting with bankers to get them committed to a more benign plan of action. But for the finance minister, the bigger worry is that to get the economy back

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👊 The prophets of doom have been unduly focusing on increased public spending and